important is to recognize that a lot needs to be done and the slowdown is a wake-up call for increasing the pace of actions and reforms.

Prospects, Short Term and Medium Term

The revival of ***growth in the advanced countries*** is expected to be slow and uncertain at least in the near future, despite the measures being taken on monetary and fiscal fronts. In **Europe**, in particular, this is also being accompanied by changes in the institutional framework. With the ongoing private sector deleveraging and government fiscal consolidation, most analysts have projected only a very moderate global recovery in 2013, which could gather steam in 2014. At the same time, if the **United States** can deal with its fiscal overhang, the potential upside to global growth could be substantial, given the health of US corporations, continuing innovation, low energy costs, and the improving finances of households. Emerging markets can also compensate a little for tepid growth in industrial economies, and the changing direction of Indian exports towards emerging markets can help their revival.

Nevertheless, it is **unlikely** that the support to Indian growth from the global economy will be significant. Indeed, there are two sources of downside risk. First, India is exposed to shifts in the risk tolerance of international investors. Second, India's import bill is strongly tied to the price of oil. Of course, one reason for rising oil prices would be improvements in the global economy, which would mean stronger exports. The more worrisome situation would be if the oil prices rise because of geo-political risks, which would mean increasing investor anxiety and slow world growth.

The **bottomline** is that India cannot take the external environment for granted, and has to move quickly to restore domestic balance. The government is committed to fiscal consolidation. This along with demand compression and augmented agricultural production should lead to lower inflation, giving the RBI the requisite flexibility to reduce policy rates. Lower interest rates could provide an additional fillip to investment activity for the industry and services sectors, especially if some of the regulatory, bureaucratic, and financial impediments to investment are eased.